

Fintech and Payments

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Key Trends

**Increasing
pace of
change...
irreversible**

Easy access to computing technology

Increasingly connected world (people and devices)

Digital platforms as gateways to consumers

Ability to address consumers individually

Comfort from 'social connections' vs 'regulation'

Shifting revenue and profit pools vs value

'Tech' Impact on 'Fin' (Banking)

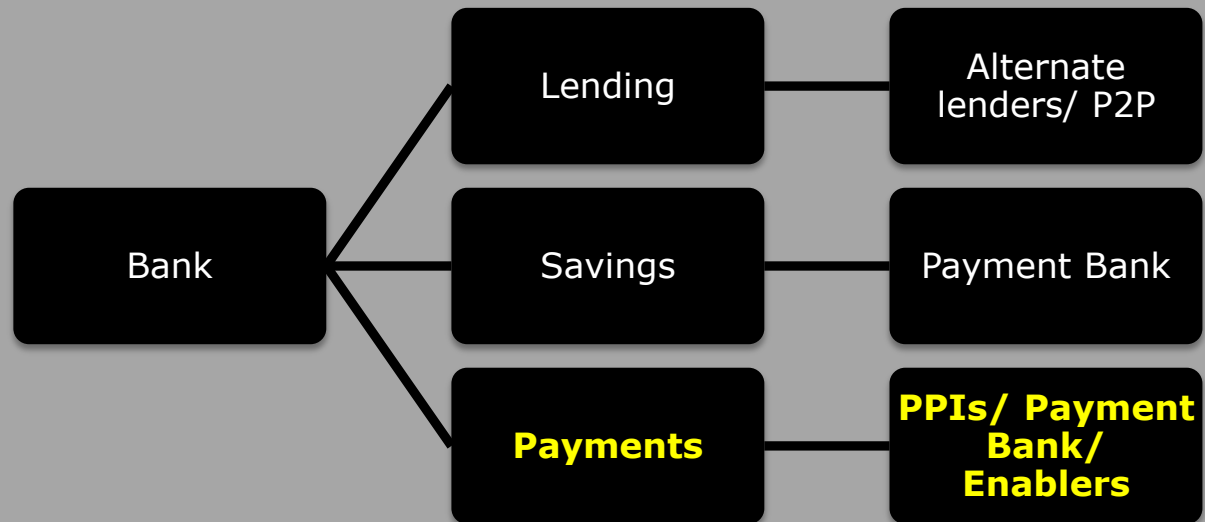
Un-bundling

Legacy technology being exposed

Size and need for revenue becoming hindrance

Moving and shrinking earning pools

Increasing regulation



Payments

**Separate from
banking?**

Daily need

Has been part
of Bank

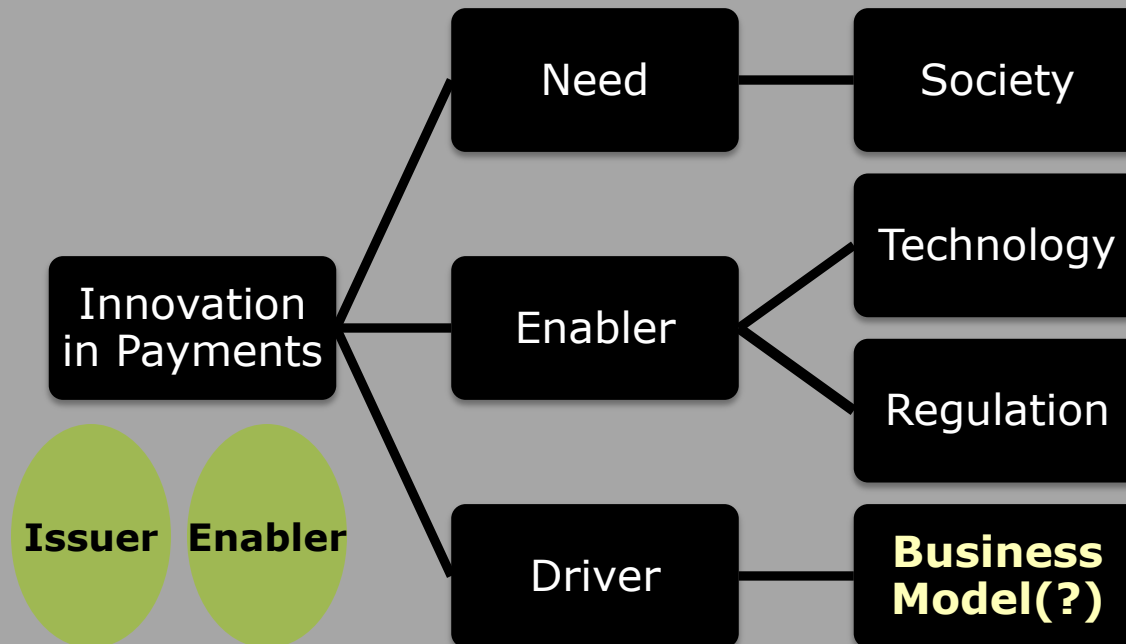
Today more
'technology'
than 'banking'

Does it need an
'independent'
business model

How do you
price payments

Innovation ...

Most ingredients present...

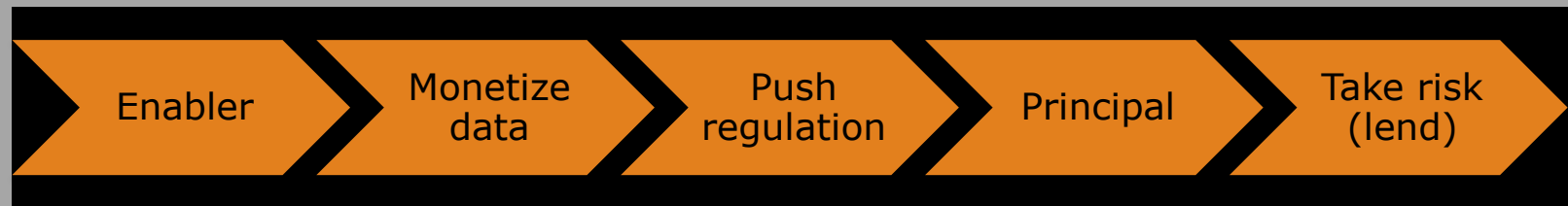


Most innovation is around 'enablers'

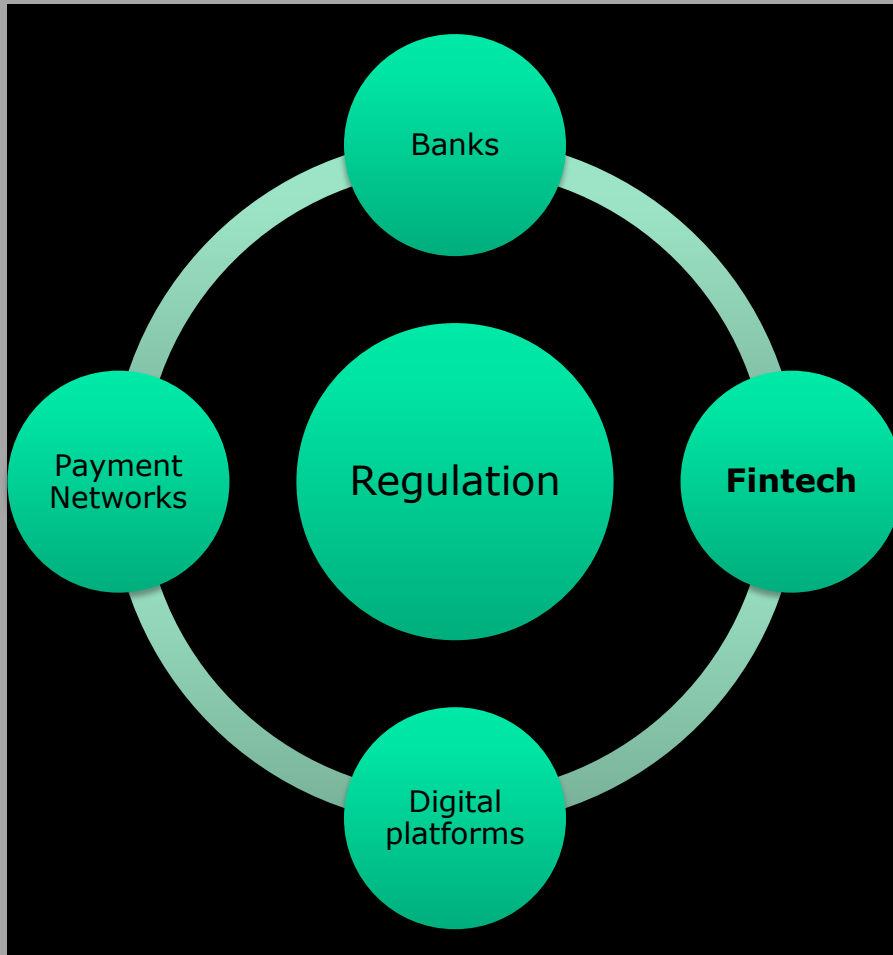
Payment Bank - issuer opportunity also!

Payments – model and evolution

PayPal	Stripe	BillDesk	Square	AliPay
• enabler • risk-taker • lender	• enabler • solution provider	• enabler • solution provider	• enabler • solution provider • lender	• enabler • risk-taker • lender • eco-system



Jostling – due to Fintechs



Relatively recent phenomena

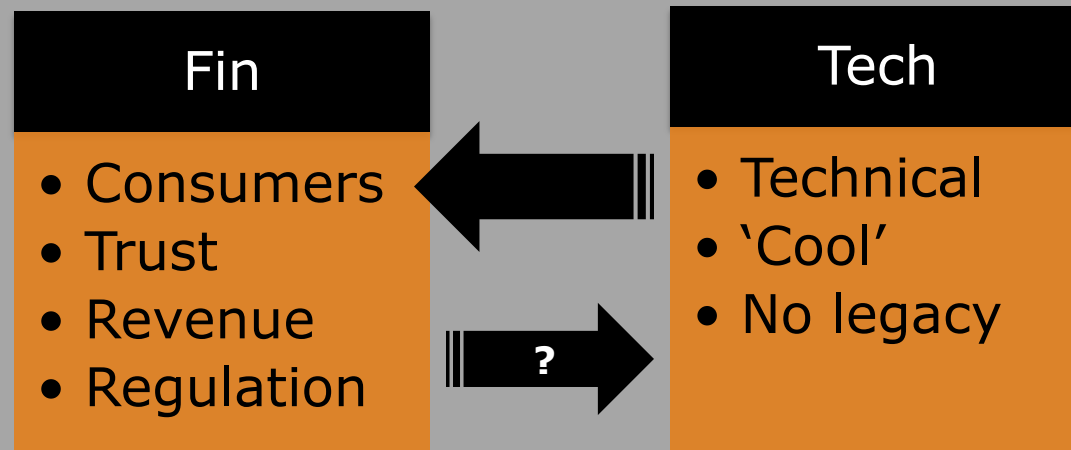
Continuous push-pulls

No clear winning model

Consumer benefit high

'Tech' to 'Fin': *regulation -value erosion*

Fin vs Tech



Collaborate and/or compete

'Financialization' of 'Tech'

'Technologization' of Fin

Payments in India

**Need for a
balanced
approach**

Potential appears large – population and businesses

Revenue opportunity today

- Tiny to small
- Annual revenue of 'electronic payments' in India - USD 800MN-USD1BN
- One-tenth of PayPal!
- Revenue pool for non-banks: USD 150MN-USD 250MN

Societal need for payments high

Core payments infrastructure present

Large uneducated population (vulnerable?)

Current approach --> ***Cost-Security-Reliability-Availability***

Discussion Points

Mix of options

What could drive adoption/innovation

- Low cost
- Robust business

Who can drive adoption

- Bank
- Fintech
- State

How to drive adoption

- Enabling regulation
- Mandating



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